

EQUITY RESEARCH

NVIDIA CORPORATION

NVDA | Technology

Rating: Buy

Current: \$209.25 | Target: \$300.00

April 2026

Key Metrics Snapshot

Market Cap	\$5,085.82B	ROE	76.33%
P/E (Fwd)	37.75	Dividend Yield	0.02%
P/B Ratio	28.81	52W Range	\$110.82 - \$216.83

Investment Thesis

NVIDIA Corporation showcases a robust financial trajectory with an impressive revenue CAGR of 68.3% and a strengthening EBITDA margin projected to reach 73.5% by 2027. The company is positioned favorably within its industry, boasting a decreasing PE ratio and competitive EV/EBITDA multiple compared to peers. NVIDIA's strategic growth and operational efficiency highlight its potential for sustained profitability and market leadership.

Company Overview

NVIDIA Corporation (NVDA) is a leading player in the technology sector, renowned for its graphics processing units (GPUs) and innovative contributions to artificial intelligence (AI), gaming, and professional visualization markets. The company's business model centers on designing and marketing GPUs and systems on a chip (SoCs) that are integral to high-performance computing tasks, including gaming, data centers, and AI-based applications.

NVIDIA's flagship products include the GeForce series for gaming, Quadro for professional visualization, and the Tesla series for AI and deep learning applications. These products leverage NVIDIA's advanced GPU technology to deliver superior performance in graphics rendering, machine learning, and computational tasks. The company's CUDA architecture has set a standard for parallel computing, making NVIDIA a preferred choice for developers and researchers in AI and data science.

In terms of market position, NVIDIA has consistently maintained a competitive edge due to its focus on innovation and ability to anticipate market needs. Its dominance in the GPU market is pronounced, with significant market share in both consumer and professional segments. The company's strategic investments in AI and data center technologies have further solidified its position as a leader in the tech industry.

Recent financial performance illustrates NVIDIA's robust growth trajectory. From 2022 to 2026, NVIDIA's revenue experienced a remarkable compound annual growth rate (CAGR) of 68.3%, reflecting its successful expansion and increased demand for its products. The company's EBITDA also showed significant improvement, rising from \$5.986 billion in 2023 to a projected \$144.552 billion in 2026. This growth is driven by NVIDIA's focus on expanding its data center and AI businesses, which are expected to continue contributing to its revenue streams.

Despite facing a challenging year in 2023, with a lower EBITDA margin of 22.2%, NVIDIA rebounded strongly in subsequent years. The company's strategic initiatives and product innovations have led to a projected EBITDA margin of 66.9% in 2026. NVIDIA's performance in comparison to peers like AMD and Intel further highlights its strong market position, with higher EBITDA figures and competitive EV/EBITDA ratios.

Overall, NVIDIA's commitment to advancing GPU technology and expanding its influence in AI and data centers positions it well for continued growth and market leadership in the coming years.

Investment Overview

NVIDIA Corporation has demonstrated a substantial growth trajectory in recent years, with its financial performance reflecting significant progress. The company reported a remarkable increase in revenue, jumping from approximately \$26.9 billion in 2023 to an anticipated \$130.5 billion by 2025, with a Compound Annual Growth Rate (CAGR) of 68.3%. This exceptional growth is largely driven by NVIDIA's leadership in the AI and GPU markets, where demand continues to accelerate.

In terms of profitability, NVIDIA has shown impressive improvements in its contribution profit and EBITDA margins. The EBITDA margin is expected to rise from 22.2% in 2023 to 73.5% by 2027, indicating efficient operational scaling. The company's cost management is evident with a declining SG&A margin, projected to decrease from 9.0% in 2023 to just 0.6% by 2027, suggesting effective cost control and operational efficiency.

NVIDIA's earnings per share (EPS) have also seen significant growth, from \$0.18 in 2023 to an estimated \$5.88 by 2027. The price-to-earnings (PE) ratio is projected to decrease over the same period, reflecting increased investor confidence and more attractive valuation metrics.

Compared to industry peers such as AMD and Intel, NVIDIA's EBITDA performance is notably stronger, particularly in the upcoming years. Its EV/EBITDA ratio is also on a favorable downward trend, enhancing its investment appeal.

Overall, NVIDIA's strong financial performance, driven by robust demand for its innovative technologies, positions it well for continued growth. Investors may find NVIDIA an attractive opportunity due to its market leadership, impressive growth metrics, and operational efficiency. However, as with any investment, potential risks should be considered, particularly those related to market competition and technological advancements.

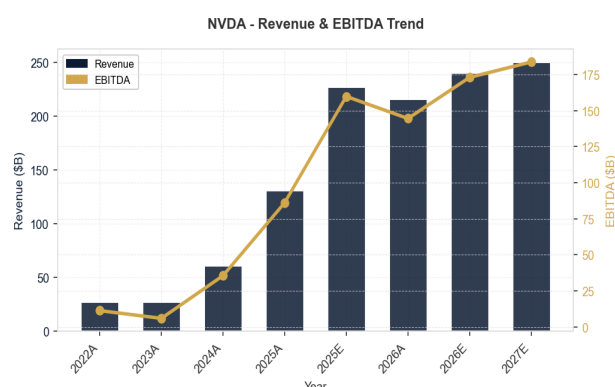
Financial Analysis

Revenue & EBITDA Performance

NVIDIA Corporation has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2026A): \$215.9B
- EBITDA (2026A): \$144.6B
- Revenue Growth (2026A): 65.5%



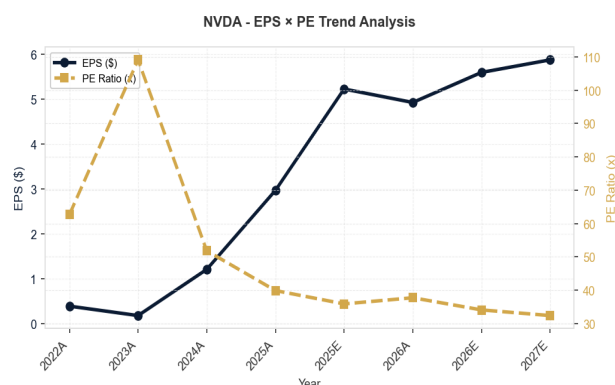
Source: Company Filings

Earnings & Valuation Metrics

NVIDIA Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2026A): 4.93
- PE Ratio (2026A): 37.75



Source: Company Filings

Valuation Analysis

NVIDIA Corporation (NVDA) boasts strong growth metrics, with a compound annual growth rate (CAGR) of 68.3% in revenue from 2022 to 2027. Notably, the company's revenue is projected to grow substantially, reaching approximately \$250 billion by 2027. The EBITDA margin is also expected to improve from 42.2% in 2022 to 73.5% by 2027, indicating efficient cost management and operational scalability.

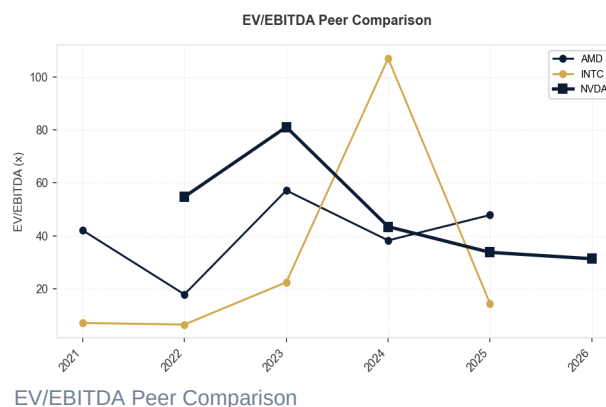
In comparison with peers like AMD and Intel, NVIDIA's EBITDA figures are significantly higher, particularly from 2024 onwards, showcasing its leadership in the semiconductor industry. By 2027, NVIDIA's EBITDA is projected to be \$382 billion, dwarfing AMD's and Intel's projections. This dominance is reflected in NVIDIA's EBITDA margin, which is set to outperform its peers consistently.

The Price-to-Earnings (PE) ratio for NVIDIA has been decreasing from 62.7 in 2022 to an estimated 32.4 by 2027, suggesting potential undervaluation relative to its growth trajectory. The EV/EBITDA ratio for NVIDIA also declines over time, from 81.0 in 2023 to 31.4 in 2026, indicating a more attractive valuation as earnings grow.

In assessing fair value, NVIDIA's robust growth prospects and improving margins suggest that it is likely undervalued compared to its future earnings potential. The company's market position and technological advancements in AI and data centers further bolster its long-term prospects. However, potential investors should consider the volatility in tech valuations and the competitive landscape when assessing its fair value. Overall, NVIDIA appears to be positioned favorably for sustained growth, making it a compelling option for growth-focused investors.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

NVIDIA Corporation has recently seen significant activity in both its financial performance and market presence. The company's revenue is projected to grow at a compound annual growth rate (CAGR) of 68.3% from 2022 to 2027, with expectations of reaching nearly \$250 billion by 2027. This growth is largely attributed to the surging demand for AI technologies and data center expansions, areas where NVIDIA is a key player. The company's EBITDA margin is expected to improve, indicating enhanced operational efficiency and profitability over the coming years.

Recent news highlights the increasing demand for AI-driven technologies, with NVIDIA positioned to capitalize on this trend. Despite this, NVIDIA's stock experienced a slight pullback, falling 2% after reaching all-time highs, yet it remains up 20% for the month of April. This volatility reflects broader market dynamics and investor sentiment, which is currently bullish but shows a declining trend in engagement across platforms like Reddit and X.com.

Key developments include NVIDIA's upcoming conference call to discuss its first-quarter financial results, which could provide insights into its strategic direction and performance outlook. Additionally, the company remains a top

pick for investors looking to benefit from the AI infrastructure build-out, alongside other semiconductor giants like Broadcom and ON Semiconductor.

Retail sentiment suggests a high level of interest in NVIDIA, though the bullish sentiment is showing signs of decline. As the AI market continues to expand, NVIDIA's strategic moves and financial performance will be crucial for maintaining its competitive edge and justifying its valuation, which is already high compared to peers like AMD and Intel. Investors should keep an eye on NVIDIA's earnings reports and market responses to better gauge its future trajectory in the rapidly evolving tech landscape.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 70.5%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 72.0%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 73.5%

Confidence Intervals:

- Revenue: \$176.5B - \$323.4B (95% confidence)
- EBITDA: \$129.7B - \$237.7B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for NVDA

Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): IQE's with MACOM and link to Nvidia are 'exciting', but shares downgraded after surge
- Impact: HIGH, Probability: 95%
- Market (2026-04-29): Prediction: The Nasdaq Will Hit New Highs by 2027. Here's the Best Artificial Intelligence (AI) Growth Stock to Own Until Then.
- Impact: LOW, Probability: 50%
- Earnings (2026-04-28): Small: Big Tech Full of Buys, Favors NVDA, AMZN & GOOGL in Mag 7
- Impact: HIGH, Probability: 95%
- Market (2026-04-28): Traders bet Nvidia's stock will return to record highs soon
- Impact: LOW, Probability: 50%
- Earnings (2026-04-28): NVDA's Blackwell Platform Boosts its Top-Line Growth: What's Ahead?
- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Earnings (2026-04-29): Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Nvidia: AI Transcends Semiconductors' Cyclical Nature
- Impact: HIGH, Probability: 95%

Events to Monitor

- AI Demand Is Surging — But Taiwan Semiconductor Is Controlling the Supply (2026-04-29)
- NVIDIA Sets Conference Call for First-Quarter Financial Results (2026-04-29)
- U.S. politician suspiciously dumps Nvidia (NVDA) stock (2026-04-29)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
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Positive Catalysts:

- ✓ IQE's with MACOM and link to Nvidia are 'exciting', but shares downgraded after surge

- ✓ Prediction: The Nasdaq Will Hit New Highs by 2027. Here's the Best Artificial Intelligence (AI) Growth Stock to Own Until Then.
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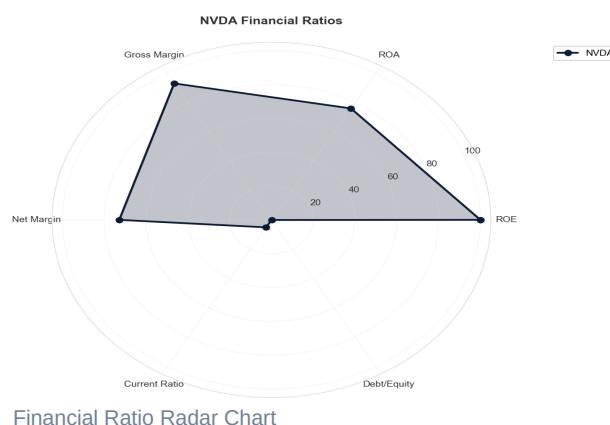
Risk Factors:

- Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Nvidia: AI Transcends Semiconductors' Cyclical Nature

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of NVIDIA Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

NVIDIA Corporation (NVDA) stands out among its peers, AMD and Intel (INTC), primarily due to its robust revenue growth and superior contribution and EBITDA margins. NVIDIA's revenue is projected to grow at a compound annual growth rate (CAGR) of 68.3% from 2022 to 2027, significantly outpacing typical industry growth rates. This impressive growth trajectory is largely driven by its strong foothold in the graphics processing unit (GPU) market and its expansion into artificial intelligence (AI) and data centers.

In terms of profitability, NVIDIA's EBITDA margin is projected to increase from 66.9% in 2026 to 73.5% in 2027. This is substantially higher than AMD and Intel, reflecting NVIDIA's efficient cost management and high-margin product offerings. The company's contribution margin also remains robust, indicating effective operational efficiency.

Compared to its peers, NVIDIA's PE ratio shows a declining trend, suggesting that as the company's earnings per share (EPS) grow, the stock may be becoming more attractive in terms of valuation. Although NVIDIA's PE ratio

was higher than its peers in earlier years, the decreasing trend towards 2027 suggests better valuation alignment with its earnings growth.

In contrast, AMD and Intel face more modest growth and profitability challenges. AMD shows healthy EBITDA growth but lacks the explosive revenue growth of NVIDIA. Intel, on the other hand, has struggled with declining EBITDA over the years but is projected to recover slightly by 2027.

NVIDIA's EV/EBITDA ratio, although higher than its peers in 2023, is expected to normalize by 2027, reflecting the market's recognition of its sustained growth and profitability prospects. Overall, NVIDIA's strong financial performance and strategic positioning in high-growth sectors such as AI and data centers position it favorably against AMD and Intel in the competitive landscape.

Risk Factors

- **Valuation Risk:** NVIDIA's high PE and EV/EBITDA ratios, compared to its peers, suggest that the stock might be overvalued. If market sentiments shift, it could lead to significant price corrections.
- **Revenue Growth Sustainability:** While NVIDIA's revenue growth has been substantial, maintaining the projected CAGR of 68.3% could be challenging. A slowdown in growth could impact investor expectations and stock performance.
- **Margin Pressure:** Although NVIDIA's EBITDA margin is projected to improve, any increase in SG&A; or operational costs beyond projections could pressure margins, affecting profitability.
- **Market Competition:** With peers like AMD and Intel in the same industry, NVIDIA faces strong competitive pressures. Any advancements or improvements by competitors could erode NVIDIA's market share and profitability.
- **Economic and Market Conditions:** Broader economic factors and market conditions, such as changes in consumer demand, regulatory changes, or supply chain disruptions, could adversely affect NVIDIA's financial performance and stock price.

Key Takeaways

- ✓ **Revenue Growth:** NVIDIA Corporation's revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** NVIDIA Corporation's gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** NVIDIA Corporation's SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** NVIDIA Corporation's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2022A	2023A	2024A	2025A	2026A
Revenue	\$26.9B	\$27.0B	\$60.9B	\$130.5B	\$215.9B
SG&A	\$2.2B	\$2.4B	\$2.7B	\$3.5B	\$4.6B
Contribution Profit	\$17.5B	\$15.4B	\$44.3B	\$97.9B	\$153.5B

Contribution Margin	64.9%	56.9%	72.7%	75.0%	71.1%
EBITDA	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B
EBITDA Margin	42.2%	22.2%	58.4%	66.0%	66.9%
SG&A Margin	8.0%	9.0%	4.4%	2.7%	2.1%
Revenue Growth	N/A	0.2%	125.9%	114.2%	65.5%
EPS	0.39	0.18	1.21	2.97	4.93
PE Ratio	62.68	109.09	51.83	39.90	37.75

Credit & Cash Flow Metrics

Metric	2022A	2023A	2024A	2025A	2026A
Debt/Equity	0.44	0.54	0.26	0.13	0.07
Debt/Assets	0.27	0.29	0.17	0.09	0.06
Interest Coverage	42.5x	16.1x	128.3x	329.8x	503.4x
Net Margin	36.2%	16.2%	48.8%	55.8%	55.6%
Current Ratio	6.65	3.52	4.17	4.44	3.91
CF to Debt Ratio	0.77	0.47	2.54	6.24	9.00

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Data Source: FMP, Company Filings, AI4Finance Estimates

Report Generated: 2026-04-29 23:53 ET | AI4Finance Foundation FinRobot Equity Research